

Tempus AI, Inc.
TEM NASDAQ

Hold	\$58.37 ▼ 5.09%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$10.48B
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TEM: Insider Selling Cools Off Post-Rally Enthusiasm

WHAT HAPPENED

- TEM dropped 5% today on light volume (1.5M shares vs the usual 4M+) — that's a "nobody's really fighting for it" kind of decline, more of a drift lower than panic selling. The bigger story is the cluster of insider sales: CEO Eric Lefkofsky dumped ~\$1.25M worth in late June, and the Data CEO sold another \$600K on July 6. When multiple executives sell within days of each other, the market reads that as "they think it's fully priced here."
- The agentic AI oncology platform launch on July 6 got initial excitement (stock ran to \$61.50 yesterday), but today's fade suggests the news is already priced in — classic "buy the rumor, sell the news."

WHY IT MATTERS

Here's the thing: TEM is caught in a tug-of-war between a genuinely accelerating business (they just launched a next-gen AI platform and are extending their precision oncology moat) and insiders cashing out at what they clearly view as decent prices. That's not necessarily a red flag — Lefkofsky is a billionaire founder with an established selling pattern — but combined with a stock that's still only at 27% of its 52-week range (\$42-\$104), it tells you the smart-money floor might be lower than you think. Watch for a base-building phase in the \$55-60 range; if that holds through Q2 earnings (early August), the setup gets much cleaner. If it breaks \$55, the next real support is closer to \$48.

POLICY & POLITICAL WATCH

The big political tailwind for TEM is the ongoing federal push on precision medicine and AI in healthcare — the Cancer Moonshot 2.0 initiative and expanded NIH funding for genomic data platforms directly benefit companies like Tempus. On the flip side, watch CMS (Medicare) reimbursement rate decisions on genomic sequencing tests due later this year — any cut to the MoLDx program pricing would hit TEM's Genomics segment hard since Medicare is a huge payer for cancer diagnostics. There's also the FDA's evolving framework for AI/ML-based medical devices; if they tighten validation requirements, TEM's compliance costs go up but so does their competitive moat against smaller startups.

IS IT EXPENSIVE?

At a \$10.5B market cap on ~\$985M expected 2026 revenue, investors are paying about \$10.60 for every \$1 of revenue — that's rich for a company still losing money, but not insane for one growing 30%+ in a hot AI-healthcare theme. Comparable diagnostic peers like Exact Sciences trade at ~4x revenue but they're profitable and growing slower. The premium here is entirely about the AI angle and the growth rate — if either falters, this multiple compresses fast.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

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Key Data

Price (USD)	\$58.37
12M Price Target	\$68.00
Upside / (Downside)	+16.5%
Market Cap	\$10.48B
FY2026E Revenue	\$985M
FY2027E Revenue	\$1,310M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$68.00	\$58.00	\$50.00
6 Months	\$80.00	\$65.00	\$45.00
1 Year	\$95.00	\$68.00	\$40.00
2 Years	\$130.00	\$85.00	\$35.00
5 Years	\$220.00	\$125.00	\$25.00
10 Years	\$450.00	\$210.00	\$18.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Materials and Consumer Staples leading today — that's a defensive rotation, meaning investors are getting nervous about growth names (which includes TEM). Materials also benefits from ongoing infrastructure spending.

COOLING OFF: High-multiple growth and biotech feel heavy — no sector ETF is showing strong 5-day momentum, which tells you money is sitting on the sidelines waiting for earnings season and Fed clarity.

ROTATION WATCH: Money is quietly rotating from high-beta AI names into defensive sectors — that's a headwind for TEM specifically because it sits at the intersection of two vulnerable themes (unprofitable growth + healthcare regulatory risk).

RELATED PLAY: If precision medicine keeps getting federal support, the cloud infrastructure that hosts all this genomic data benefits too — think Amazon (AWS) and specialized data players like Schrödinger (SDGR).

WHO'S WINNING IN THIS SPACE?

- EXAS (Exact Sciences): Winning on the profitability angle in cancer diagnostics — investors rotating to "proven" cancer testing names over speculative AI plays.
- VEEV (Veeva Systems): Healthcare data/software play that's actually profitable — getting the "safe AI-in-healthcare" flows that could otherwise go to TEM.

TEM CONTEXT: TEM is lagging the profitable diagnostics peers right now, which is normal in a risk-off tape — cash-burning names get sold first. This isn't a red flag on the business; it's a red flag on market positioning. When risk appetite returns, TEM should snap back harder than the safer names because it's more beaten down.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — Bullish on the business, cautious on the entry point. The insider selling and the fact that the stock is still 44% off its highs tells me patience wins here.

POSITION SIZE: 2-4% of portfolio — this is a volatile name with binary regulatory risks; you want it small enough that a 30% drawdown doesn't ruin your week.

ENTRY POINTS: I'd start nibbling in the \$50-52 zone and get more aggressive if it dips into the high \$40s. Chasing at \$58 doesn't give you enough margin of safety given the volatility.

TIME HORIZON: 12-24 months. Real catalyst is Q2 earnings in early August, then CMS reimbursement clarity in the fall.

WHEN TO BAIL: If revenue growth slows below 30% year-over-year, if Medicare cuts reimbursement rates on genomic tests, or if the CEO steps back from operational involvement — any of those and I'm out.

HEDGING: Simplest hedge is just keeping the position small. If you want to get fancy, pair it with a long position in a profitable diagnostics name (like EXAS) — that way if the whole cancer-testing sector gets hit on policy news, you're not totally exposed to the more speculative name.